

HOW REITS WORK

● **DIVIDEND INCOME:** REITs are required to distribute at least 90% of their taxable income to shareholders as dividend

● **CAPITAL APPRECIATION:** They can also generate returns through the appreciation of the underlying properties' value

Payout cycle	Varies between funds, can be monthly or every six months
Returns	Minimum 90% of income
Non-revenue generating assets	Up to 10% of the investment can be in under-construction (non-revenue generating) assets
Debt	Up to 49% of asset value
Yield stability	The yield varies based on the entry price into the REIT
Asset value stability	As a listed product, it is subject to stock market volatility, which can be out of sync with actual property value
Asset sale	REITs cannot sell assets younger than three years

SOURCE BT RESEARCH

flooding back in. On the retail side, too, there was a return to the outdoors after two years of lockdowns. Listed REITs now collectively manage assets under management (AUM) of more than ₹1.4 lakh crore, and the number of unitholders in these REITs has also seen a significant increase.

One concern that has lingered about REITs is their patchy performance.

Investors in REITs can earn returns on their investment in two primary ways: dividend and capital appreciation. "By law, REITs must distribute at least 90% of their taxable income to shareholders as dividends. As a result, REIT investors typically receive a regular income stream," says Harish Fabiani, Chairman of real estate firm IndiaLand Group. Investors can also earn through appreciation of the share price in a

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were joined by Brookfield India Real Estate Trust.

Unlike Embassy Office Parks REIT, Mindspace Business Parks REIT, and Brookfield India Real Estate Trust, with their heavy reliance on office space, Nexus Select Trust confronted a different set of challenges. With malls and retail space closed for extended periods, footfall dropped, and tenants struggled to pay rent.

But REITs recovered after employers and employees trickled back to occupy office spaces and then came

REIT. They can sell these shares at the higher price to realise capital gains.

The performance of Brookfield, Mindspace, Embassy, and Nexus REITs on market price and dividend distribution between FY22 and FY24 has varied. Brookfield's dividend payout has fluctuated, and it paid no dividend in FY24. Its market price dropped from ₹316 a share in FY23 to ₹255 in FY24, reflecting a 19% capital depreciation year-on-year. Mindspace, on the other



UNDER-CONSTRUCTION ASSETS:
The investment limit has been raised from 10% to 20% of the REIT value



DISCLOSURE REQUIREMENTS: Streamlined to reduce compliance burden



STRATEGIC INVESTOR FRAMEWORK: Institutional participation encouraged in REIT public offerings



TRADING LOT SIZE: Reduced from 100 units to a single unit